MODULE 2

The Players & How Money Flows

Ace Dispatch · Dispatcher Training Course

Module 2 of 18 · Foundations · about a 15-minute read

Here's a way to go out of business while doing everything right.

> *You book load after load. Every one is profitable on paper. Your truck never stops rolling. And three months in, you can't make payroll, you can't buy fuel, and the bank is calling about the truck payment.*

How does that happen when every load made money? Because in trucking, the money you earn today does not show up today. It shows up in thirty days — sometimes forty-five. Meanwhile the fuel, the driver, and the truck payment are all due *now*. The gap between when you spend and when you get paid is where carriers quietly bleed out.

So before you book a single load, you need two things in your head: who all the people in this business are and what each of them actually wants — and how one dollar really moves between them, including *when* it moves. Get that, and you'll make decisions that keep a truck not just busy, but alive.

WHAT YOU'LL BE ABLE TO DO

Name every player in a freight deal and say what they want and how they make their money — especially the broker, who earns a *margin* you'll spend your career negotiating against. And you'll be able to trace a single load's dollar from start to finish, and explain why a carrier might take a little less money just to get it sooner.

1 Meet the Seven Players

*The order follows the money — it starts at the shipper and ends in the carrier's bank. Our recurring world: the carrier is **Summit Carriers**, the driver is **Marcus** on **Unit 7** (a dry van), and the Atlanta→Dallas furniture load is the one he's hauling.*

The Shipper — where the money is born

The shipper is the business with goods that need to move — our furniture company in Atlanta. The thing to understand: moving freight is a *cost* to them, not their business. They make money selling furniture, not shipping it — so what they want is simple: freight that arrives on time, undamaged, for as little money and hassle as possible. And here's the key point — **every dollar in this entire chain originates with the shipper.** Everyone else is splitting up money that started in the shipper's pocket. You, the dispatcher, will rarely talk to them directly; you'll deal with the broker.

The Broker — the middleman, and your main contact

The broker connects the shipper who has freight with a carrier who has a truck. They don't own trucks. The single most important thing to understand about a broker is *how they make money*, because it shapes every conversation you'll have with one: a broker earns the **margin** (also called the spread) — the difference between what the shipper pays them and what they pay the carrier.

THE BROKER'S MARGIN — THE THING YOU NEGOTIATE AGAINST

Say the furniture company pays the broker **$3,600** to move the load. The broker books Summit for **$3,000**. That **$600** difference is the broker's margin. You usually *can't see* the $3,600 — all you see is your $3,000. But knowing the margin *exists* changes everything: when you negotiate, you're pushing on that spread, and the broker has room to move.

What does a broker *want*? Two things that pull against each other: keep as much margin as possible, but also cover the load with a carrier who will actually show up, haul it safely, and not create problems — because the broker's reputation with the shipper is on the line every time. That second want is **your leverage**: a reliable carrier who communicates and delivers on time is worth paying a little more for, and good brokers know it.

The Carrier — who you work for

The carrier is the trucking company that actually hauls the freight — that's Summit. It owns or leases the truck, holds the legal operating authority, carries the insurance, and stands behind the load. It makes money by collecting the linehaul and keeping whatever's left after its costs: fuel, the driver, the truck payment, insurance, maintenance, tolls. And here's where you come in: **you, the dispatcher, work for the carrier. Not the broker. Not the shipper.** Your job is to make Summit's truck as profitable as possible.

The Dispatcher — that's you

The dispatcher finds the loads, books them, negotiates the rate, schedules the stops, supports the driver, and handles the paperwork — you're the brain behind the truck. You might be an *employee* of the carrier, or you might run an *independent dispatch service* that dispatches for one or more carriers for a fee. Either way, you represent the carrier's interests — never the broker's. How do you get paid? Most dispatchers charge a **percentage of the linehaul** they book — a fair, common range of about **6 to 10%**: nearer 6% for basic load-finding, up toward 10% for full service (finding, booking, paperwork, check calls, problem-solving). Tying the fee to the work keeps it fair to both sides.

The Driver — Marcus, who turns the wheel

The driver physically moves the freight, and they come in two flavors that change how they think. A **company driver** is employed by the carrier and paid by the mile, hour, or salary — they want miles and steady work. An **owner-operator** owns their own truck and is essentially a one-truck business — they care about *profitable* miles, fuel cost, and getting home, because every expense is theirs. Marcus runs Unit 7 for Summit, and like every driver, what he wants from you is simple: keep him loaded, keep him legal, get him paid, and get him home when you promised. Deliver those four and you keep your drivers.

The Receiver — the consignee, at the other end

When the load reaches Dallas, the business taking delivery is the receiver — on the paperwork, the *consignee*. They want their freight unloaded, counted, and on their shelves accurately and on schedule. The subtle part: the receiver usually isn't the one paying for the freight, but they control three things that matter enormously to you — the dock, the delivery appointment, and the signature that turns your BOL into a POD. A slow receiver can cost your driver hours of unpaid waiting. So you don't get money *from* the receiver, but you coordinate closely *with* them.

The Factor — the cash bridge

The last player shows up only because of a problem we're about to explain. A factor is a financing company that pays the carrier *fast* — right after delivery — instead of making them wait the thirty days for the broker. The factor advances most of the money now, then collects from the broker itself later, keeping a small fee. If you remember one thing: **the factor exists to solve timing** — which is the whole second half of this lesson.

2 Follow the Dollar

Let's follow three thousand dollars through Marcus's furniture load, start to finish. Watch how the *amount* barely changes — but *when* it arrives changes everything.

Shipper	→	Broker	→	Summit — you
$3,600		**keeps $600**		**$3,000**
Atlanta · pays to move the load		the margin (hidden from you)		the linehaul you're offered

… but that **$3,000 is slow** — it arrives in about **30 days** (net-30), while Summit's costs are due **now**.

Day 0 — money goes OUT: fuel ~$650 + Marcus's pay + the truck/insurance share. Nothing has come in yet.

Tool 1 · Fuel advance (at pickup): draw up to ~$1,200 of the load's pay early, via Comchek → **diesel in the tank now.**

Delivery → POD → invoice: the receiver signs, you bill the broker — and only now does the 30-day clock start.

Tool 2 · Factoring (after delivery): the factor pays ~$2,850 within ~24 hrs, then collects the full $3,000 from the broker at day 30 and keeps a ~$90 fee.

Result: Summit nets ~**$2,910** — fast, not in thirty days. In trucking, **timing is money.**

Do that thirty-day wait across a whole fleet and you can see how a busy, profitable carrier runs out of cash. That's the **cash gap** — and bridging it with a fuel advance up front and factoring (or **quick-pay**, where the broker pays in a couple of days for a 2–3% discount) is how a growing carrier stays alive. A little less money, a lot sooner, is a trade a smart dispatcher makes happily.

Module 2 Glossary — your quick reference

The money and the players, in one place. Each gets its full treatment as the course goes on.

The Players

Broker margin / spread	The difference between what the shipper pays the broker and what the broker pays the carrier — the broker's profit, and what you negotiate against.
Dispatcher fee	How a dispatcher is paid: a percentage of the linehaul booked, commonly a fair ~6–10% (lower for basic load-finding, higher for full service).
Company driver	A driver employed by the carrier and paid by mile/hour/salary — wants miles and steady work.
Owner-operator	A driver who owns their truck — a one-truck business that cares about profitable miles, fuel cost, and getting home.

The Money & Timing

Cash gap	The dangerous space between paying costs now (fuel, driver, truck) and getting paid ~30 days later.
Net-30	Standard payment term — the broker pays about 30 days after a proper invoice.
Fuel advance	Cash drawn against a load's pay at pickup (often up to ~40%) to cover fuel; deducted from the final settlement.
Comchek	An express-code check used to deliver a fuel advance, cashed at a truck stop.
Factoring	Selling an unpaid invoice to a factor who pays ~90–95% within a day and collects the rest later, for a small fee.
Quick-pay	The broker pays in a couple of days instead of 30, for a small discount (~2–3%).

Check yourself

Try these from memory first, then check your answers below.

1. **In a freight deal, where does every dollar ultimately come from — and which player do you spend your day talking to?**

2. **A shipper pays a broker $3,600; the broker books your truck for $3,000. What's the margin, and why does it matter to you even though you can't see it?**

3. **What's the difference between a company driver and an owner-operator, and why does it change how you think about them?**

4. **Summit delivers a $3,000 load on net-30 but needs cash now. Name the two tools that bridge the gap, when each is used, and roughly what each costs.**

5. **A carrier books only profitable loads and stays busy all month but still can't make payroll. How is that possible?**

ANSWERS

1. Every dollar originates with the **shipper** (it's their money to move their goods). But you spend your day talking to the **broker**, your main point of contact.

2. The margin is **$600**. It matters because it's the broker's profit and the room they have to move — when you negotiate, you're pushing on that spread, so knowing it exists tells you there's likely room to lift the rate.

3. A company driver is employed and paid by mile/hour/salary (wants miles and steady work); an owner-operator owns the truck (cares about profitable miles, fuel, getting home). Knowing which you have tells you what motivates them.

4. **Fuel advance** at pickup — up to ~40% drawn early to cover fuel, deducted from the settlement. **Factoring** after delivery — the factor advances ~90–95% within ~24 hrs and keeps a ~2–3% fee. (Quick-pay is a third option: the broker pays in ~2 days for a ~2–3% discount.)

5. Because of **timing, not profit**. The money earned is real but arrives 30+ days after the costs are paid. Without a tool to bridge that gap — factoring, quick-pay, or a cash reserve — a profitable carrier runs out of cash.

WHAT'S NEXT → MODULE 3: EQUIPMENT AT A GLANCE

You've got the people and the money. Next we look at the trucks and trailers themselves — just enough to read what a load *needs* and to know in a glance whether your driver can haul it. We're not becoming mechanics; we're learning to speak equipment well enough to judge a load.

YOUR COMPANY'S PLAYBOOK

This lesson covers how the money works across the industry. Your own operation adds its specifics — the exact percentage it charges, how its dispatchers are paid, its preferred factoring company and fuel-card program, and when it tells a carrier to use quick-pay versus factoring. *Your trainer or supervisor will fill these in.*